HOW TO USE THIS?

When a short term moving average, let us say 50 DMA cuts 200 DMA from the downside, that means the asset price is in an uptrend and the recent history it has averaged more than the long term. As a result, we will use this crossover, where a short term MA cuts long term MA as bullish crossover and this can potentially be an entry point for a trader.

Conversely, when a short term moving average cuts long term moving average from the upside, then the asset price in a downtrend. Let us say 50 DMA cuts 200 DMA from the upside and now the long term average is higher than the short term average price of the asset. This acts as a sell or short signal for the trader. Such a crossover is called bearish crossover.

We can have multiple combinations of lengths of moving averages, for which we can experiment with crossovers to settle on one that works the best for a given asset. Some of the common lengths of moving averages are – 4DMA, 5DMA, 9DMA, 18DMA, 45DMA, 200DMA. We can try any permutation of these common ones and understand the price movements.

Some of the common lengths of Moving Averages are – 4DMA, 5DMA, 9DMA, 18DMA, 45 DMA, 200DMA. We can try any permutation of these common ones and understand more about how the asset price is performing. Some of the common moving average combinations for Crossovers are as follows.

The selection of the length of the moving average is based on the average holding period of trade that we generally submit. For someone who has a holding period of a week, a 4DMA and 9DMA might work better. For a month, 18DMA and 50 DMA might work. However, there are no fixed rules.

One of the most effective moving average crossover pair is 9DMA and 45DMA. However, there are so many others and a trader or learner is better off to experiment with the same and infer what works best for them.